

net FDI at levels that are too low for a country that's growing as India is," he says.

The fall in foreign investments has baffled policymakers and analysts and measures are expected to improve inflows. A CareEdge report noted that FPI outflows for FY26 were recorded at \$16.6 billion, as against inflows of \$2.7 billion in FY25. During the first 11 months FY26, India's net FDI inflows were modest at \$6.3 billion, following a poor \$1 billion in FY25. Even though there was an improvement compared to last year, it remains below the long-term average of \$31 billion (FY15-FY24).

THE MONSOON UNCERTAINTY

Amidst this volatile external environment, the uncertainty over the monsoons has created more worries. With a super El Niño seen to be developing this year, the



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India Meteorological Department has forecast the monsoon for 2026 at 92% of the long period average.

While it is early days, there are concerns that this could hit growth and income prospects for rural India and further fuel inflationary pressures. Already, food inflation has been rising as prices of kitchen staples like tomatoes and onions have risen along with prices of edible oil. As a precautionary step, the government has already banned sugar exports till September 30. The impact of below average monsoons on pulses and oilseed production, which typically get impacted in such years, will also have to be monitored.

However, the government remains hopeful considering the higher reservoir levels and expectation that much of the sowing will be completed before El Niño

conditions develop later in the summer.

Agricultural Economist P.K. Joshi, who is Vice President of the National Academy of Agricultural Sciences, concurs with this assessment and says that in the last 10-12 years, several studies have shown that Indian agriculture has become resilient to climate change.

“Even in the last three to four years, despite droughts in several regions, our agriculture has remained resilient and poor rains have not impacted productivity. Use of irrigation has ensured that poor rains do not impact production. As a result, the forecast of a below average monsoon should not have a significant impact on agriculture production this fiscal,” he says, adding that a NITI Aayog study had shown that earlier, the normal growth rate in agriculture was 3%, but the new normal is 4%.

“The government is working on ensuring adequate stock of fertilisers. The promotion of natural farming and allocation for it in the last two Budgets will also help tide over any fertiliser shortage. In the meanwhile, there should be more focus on improving fertiliser efficiency at the farm unit level,” says Joshi.

However, Deshpande of Crisil says the adverse impact of heatwaves and a below-normal southwest monsoon are upside risks to food inflation.

With multiple challenges before the economy, the finance ministry is closely monitoring the developments and awaiting cues from the RBI in its next policy review in June. Data on GDP growth in Q4 of FY26 as well as provisional estimates for the full year will be out on June 5, providing a better picture of the economy.

PM Modi's warning that this is turning into a decade of disasters for the world is a necessary corrective, but it needs to be followed by honest diagnostics and policy pivots that confront the paradox of macro stability without micro dynamism, says Dhananjay Sinha, CEO and Co-Head Institutional Equities at financial services firm Systematix Group. “Only by grounding ambition in granular realities, overhauled data, equitable incomes and labour absorbing growth, can India turn vulnerability into enduring resilience in a fractured world,” he underlines.

For now, it is clear that the Budget math will have to be revisited and goalposts and targets changed. Expectations are that the second half of the year could be better, if the war ends soon. What most economists agree on is that India entered this crisis from a position of strength and urgent measures could help stabilise the economy. What happens next, on the external front and with the monsoon, is anybody's guess, but we need to get our house in order. **BT**

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